IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
SPECIAL BENCH
COURT - 1

ITEM No.4

C.A.(CAA)/25(AHM)2023

Order under Sections 230-232 of the Companies Act, 2013

IN THE MATTER OF:

Nalwa Chrome Pvt Ltd
Vrindavan Services Pvt Ltd **.....Applicants**

Order delivered on: 19/05/2023

Coram:

Mr. Praveen Gupta, Hon'ble Member(J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

PRAVEEN GUPTA
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CA(CAA) 25/NCLT/230-232AHM/2023

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Amalgamation

of

Nalwa Chrome Private Limited
(Transferor Company)

with

Vrindavan Services Private Limited
(Transferee Company)

and

their respective Shareholders and Creditors

In the matter of:

Nalwa Chrome Private Limited
CIN: U74999GJ1985PTC066836
Having its registered office at
409, Shyamak Complex,
B/H. Kamdhenu Complex,
Nr. Panjara Pole, Polytechnic,
Ahmedabad, Gujarat – 380015 ..... Applicant / Transferor Company

With

Vrindavan Services Private Limited
CIN:U74920GJ1982PTC066621
Having its registered office at
409, Shyamak Complex,
B/H. Kamdhenu Complex,
Nr. Panjara Pole, Polytechnic,
Ahmedabad, Gujarat – 380015 ..... Applicant / Transferee Company

Order Pronounced on: 19.05.2023

Coram: Mr. Praveen Gupta-Member (Judicial)
Mr. Kaushalendra Kumar Singh-Member (Technical)

Appearance:
Ms. Dharmishta Raval, Advocate for the Applicant Companies.

ORDER

1. The present Company Application is filed under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, seeking dispensation of meetings of the Equity Shareholders of the Transferor and the Transferee Company as well as seeking dispensation of meetings of the Preference Shareholders of the Transferee Company. There are no Secured and Unsecured Creditors in the Transferor Company and the Transferee Company, there is no question of holding any meetings of the Secured and Unsecured Creditors of the Transferor Company and the Transferee Company for the purpose of considering and if thought fit, approving, with or without modification(s), a Scheme of Amalgamation of Nalwa Chrome Private Limited (Transferor Company) with Vrindavan Services Private Limited (Transferee Company) and their respective Shareholders and Creditors (the Scheme). This Company Application was e-filed on 22.03.2023 and physical copy thereof was filed on 23.03.2023. The Appointed Date is 1st April 2022.

2. An Affidavit has been sworn by Mr. Sanjeev Doshi on behalf of the Transferor Company who is the authorized representative,

and the same is annexed to the Company Application. The above-named authorized representative for the Transferor Company has been authorized vide Board Resolution dated 28.02.2023 of the Transferor Company.

3. An Affidavit has been sworn by Mr. Ajay Joshi on behalf of the Transferee Company who is the authorized representative, and the same is annexed to the Company Application. The above-named authorized representative for the Transferor Company has been authorized vide Board Resolution dated 28.02.2023 of the Transferee Company.

4. The averments made by the Applicant Companies are summarized as under:

   i) The Board of Directors of the Applicant Companies vide Board Resolution dated 28.02.2023 have approved the Scheme. The proposed Scheme is annexed to the Company Application as Annexure-E.

   ii) The registered offices of Applicant Companies are situated in the State of Gujarat, and are under the jurisdiction of the National Company Law Tribunal, Ahmedabad Bench.

   iii) The Transferor Company was incorporated under the provisions of the Companies Act, 1956 in the State of Maharashtra on 2nd day of September, 1985. Later, on 23rd of December, 2005, the registered office of the Transferor Company was shifted from the State of Maharashtra to New Delhi and Haryana. Again, the

registered office of the Transferor Company was shifted from Delhi to Gujarat on 24th day of June, 2011. A copy of the Memorandum and Articles of Association of the Applicant Company is annexed as Annexure-A1.

iv) The authorized, issued, subscribed and paid up capital of the Transferor Company as on 31.03.2022 is as follows:-

Particulars	**Amount**
Authorized Share Capital	
4,60,000 Equity Shares of Rs.10 each	Rs.46,00,000/-
Total	Rs.46,00,000/-
Issued, Subscribed and Paid-up Share Capital	
10,000 Equity Shares of Rs.10/- each, fully paid up	Rs.1,00,000/-
Total	Rs.1,00,000/-

v) Copy of the Audited Financial Statement as on 31.03.2022 and copy of the Unaudited Financial Statement as on 30.12.2022 of the Transferor Company are annexed with the Company Application as Annexure-B1 and C1.

vi) The Transferee Company was incorporated in West Bengal under the provisions of the Companies Act, 1956 on 8th April 1982. The Transferee Company's registered office was shifted from West Bengal to Maharashtra on March 20, 2003. Again, the registered office of the Transferee Company was moved from Maharashtra to New Delhi and Haryana on 31st January, 2006. On 30th June 2011, the

Transferee Company's registered office was shifted from New Delhi to Gujarat.

vii) The authorized, issued, subscribed and paid up capital of the Transferee Company as on 31.03.2022 is as follows:-

Particulars	**Amount**
Authorized Share Capital	
3,65,00,000 Equity Shares of Rs.10 each	Rs.36,50,00,000/-
1,35,00,000 2.5% Redeemable Non-Cumulative Preference Shares of Rs.10/- each	Rs.13,50,00,000/-
20,00,000 8% Redeemable Non-Cumulative Preference Shares of Rs.10/- each	Rs.2,00,00,000/-
Total	Rs.52,00,00,000/-
Issued, Subscribed and Paid-up Share Capital	
3,62,99,402 Equity Shares of Rs.10 each fully paid up	Rs.36,29,94,020/-
87,50,000 2.5% Redeemable Non-Cumulative Preference Shares of Rs.10/- each	Rs.8,75,00,000/-
19,90,000 8% Redeemable Non-Cumulative Preference Shares of Rs.10/- each	Rs.1,99,00,000/-
Total	Rs.47,03,94,020/-

viii) Copy of the Audited Financial Statement as on 31.03.2022 and copy of the Unaudited Financial Statement as on 30.12.2022 of the Transferee Company are annexed with the Company Application as Annexure-B2 and C2.

ix) The Certificate issued by the Chartered Accountant to the effect that the accounting treatment specified in the

Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 is annexed with the Company Application as Annexure F1-F2 .

x) Copy of the Valuation Report dated February 25,2023, issued by M/s. Rashmi Shah, Registered Valuer, is annexed with the Company Application as Annexure-G.

xi) The applicant companies are not registered under the Monopolies and Restrictive Trade Practices Act, 1969.

xii) No investigation or proceedings under the Companies Act, 1956 / Companies Act, 2013 have been instituted or are pending in relation to the Applicant Companies.

xiii) The provisions of clause (c) of Section 5 of the Competition Act, 2002 are not applicable in the present case and the Applicant Companies are not required to issue notice of Combination to Competition Commission of India pursuant to the exemption provided under Notification No. S.O. 988(E) dated March 27, 2017 read with Notification No. S.O. 1192(E) dated March 16, 2022 issued by the Ministry of Corporate Affairs as neither the value of assets being acquired, taken control of, merged or amalgamated is not more than Rupees Three Hundred and Fifty Crores in India nor the turnover is more than Rupees One Thousand Crores in India. Hence, no notice is required to be served to the Competition Commission of India.

xiv) Notice to Reserve Bank of India is not required since there is no foreign shareholder in the Applicant Companies.

xv) The Transferor Company has Two (2) Equity Shareholders (as on 28.02.2023) and both the Equity Shareholders have given their consent in writing, in the form of affidavits, in approval to the Scheme and for waiving their right to convene the meetings of the Equity Shareholders. The consent Affidavits of both the Equity Shareholders are annexed to this Company Application. KPD & Associates, Chartered Accountants, has issued certificate dated 20.03.2023 certifying the number of Equity Shareholders of the Transferor Company. The aforesaid certificate and the original consent affidavit are annexed with the Company Application. The Transferor Company, therefore, seeks dispensation of the meetings of both the Equity Shareholders.

xvi) The Transferee Company has Seven (7) Equity Shareholders (as on 28.02.2023) and all the Equity Shareholders have given their consent in writing, in the form of affidavits, in approval to the Scheme and for waiving their right to convene the meetings of the Equity Shareholders. The consent Affidavits of all the Equity Shareholders are annexed to this Company Application. KPD & Associates, Chartered Accountants, has issued certificate dated 20.03.2023 certifying the number of Equity Shareholders of the Transferee Company. The aforesaid certificate as well as the consent affidavits of all

the equity shareholders is annexed with the Company Application. The Transferee Company, therefore, seeks dispensation of the meetings of all the Equity Shareholders.

xvii) The Transferee Company has 1 (one) 2.5% Non-Cumulative Non-Convertible Redeemable Preference Shareholder and 1 (one) 8% Non-Cumulative Non-Convertible Redeemable Preference Shareholder and both them have given their consent in writing, in the form of affidavits, in approval to the Scheme and for waiving their right to convene the meetings. The list of Preference Shareholders as certified by the Chartered Accountant and the original consent affidavits of all the Preference Shareholders is annexed with the application.

xviii) The Applicant Companies have no Secured and Unsecured Creditors as on 28.02.2023. The certificates dated 20.03.2023 from KPD & Associates, Chartered Account confirming that there are no Secured and Unsecured Creditors in the Transferor and the Transferee Company are produced at Annexure-N1, Annexure-N2, Annexure-O1 and Annexure-O2 with the Application.

xix) The rationale of the Scheme of Amalgamation stated in the proposed Scheme is as under: -

a) Ensuring a streamlined group structure by reducing the number of legal entities in the group;
b) Reducing the multiplicity of legal and regulatory compliances required at present;

c) Eliminating duplicative communication and coordination efforts across multiple entities; and
d) Rationalizing costs by eliminating multiple record keeping and administrative functions.

5. Heard Ms. Dharmishta Raval, Ld. Counsel representing the Applicant Companies and perused the Company Application and the documents annexed therewith. It appears that the present Company Application complies with all provisions of Sections 230-232 of the Companies Act, 2013 and Rules provided thereunder. Hence, we allow the present Company Application with the following directions:-

i. The meeting of the Equity Shareholders of the Applicant Companies and meeting of all the Preference Shareholders Transferee Company are hereby dispensed with in view of their consent affidavits.

ii. Since there are no Secured and Unsecured Creditors in the Applicant Companies, convening of meetings of the Secured Unsecured Creditors do not arise at all.

iii. In compliance of subsection (5) of Section 230 of the Companies Act, 2013 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Company shall send a notice in Form No. CAA.3 along with copy of the Scheme: to (i) the Central Government through the Regional Director, North Western Region; (ii) the Registrar of Companies,

Gujarat, Ahmedabad; (iii) the Official Liquidator (only for Transferor Company and (iv) the concerned Income Tax Authority along with full details of the Assessing Officer and permanent account number of the Applicant Companies, stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The aforesaid authorities, who desire to make representations, if any, under sub-section (5) of Section 230 shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the Scheme

6. The Applicant Companies shall file a compliance affidavit with the Registry with regard to the directions given in this order.

7. This Company Application is disposed of accordingly.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

PRAVEEN GUPTA
MEMBER (JUDICIAL)

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